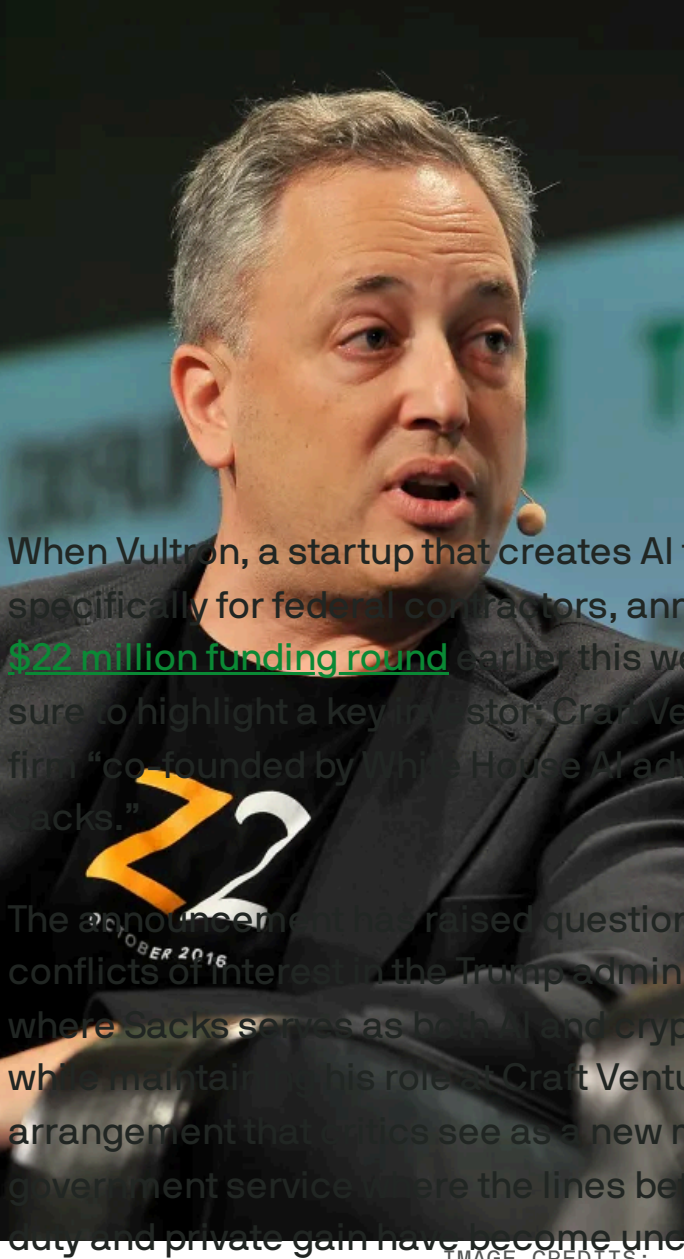


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David Sacks and the blurred lines of government service



When Vultron, a startup that creates AI tools specifically for federal contractors, announced its [\\$22 million funding round](#) earlier this week, it made sure to highlight a key investor: Craft Ventures, the firm “co-founded by White House AI adviser David Sacks.”

The announcement has raised questions about conflicts of interest in the Trump administration, where Sacks serves as both AI and crypto czar while maintaining his role at Craft Ventures — an arrangement that critics see as a new model of government service where the lines between public duty and private gain have become unclear.

IMAGE CREDITS:

STEVE JENNINGS / GETTY IMAGES

Sacks has secured not one but two ethics waivers allowing him to shape federal policy while maintaining financial stakes in the very industries he oversees. The [first](#), an 11-page document from March, covers his crypto investments. The [second](#), issued in June, specifically addresses his AI holdings. Together, they’ve enabled what ethics experts call an unprecedented arrangement.

“This is graft,” said Kathleen Clark, a Washington University law professor specializing in government ethics, after reviewing Sacks’ crypto waiver. “This is a [lawyer](#) in the White House Counsel’s office doing Trump’s bidding, letting [Sacks] make money while insulating him from criminal liability.”

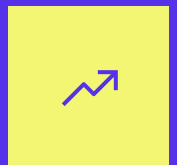
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Clark’s analysis is critical. She notes the waiver discusses percentages of Sacks’ total assets — when it was signed, his stake in Craft’s overall portfolio represented less than 3.8% of his total assets, for example — but never reveals actual dollar amounts. “The fact that this interest is just 3.8% of someone’s total assets, that’s something if you’re talking about a law professor. But 3.8% of this guy’s assets is a heck of a lot of money,” Clark said.

Clark also argues that the waiver fails to consider any potential upside. Federal regulations require examining not just current value but “potential profit or loss.” For a venture capitalist like Sacks, Clark notes, “even if right now [if his shares are] less than 3.8% of his assets, if it does well, it could be more than that.”

Craft Ventures did not respond to several requests from TechCrunch this week to discuss this story.

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The Vultron investment

The timing of Vultron’s announcement illustrates the complexity of the arrangement. Vultron says its AI tools are “purpose-built for the demands of a shifting federal procurement landscape.” The company boasts of reducing proposal timelines “from weeks to days” and claims one Fortune 500 client now saves “more than 20 hours per user each week” on federal contracting work.

A source close to the company says Craft Ventures’ investment predates Sacks’ government appointment. However, the timing raises questions: The nation’s AI czar has a financial stake in a company that profits from helping businesses win the very federal contracts his policies will influence.

Senator Elizabeth Warren has been among the most vocal critics of these arrangements. In a May letter to the Office of Government Ethics, the ranking member of the Senate Banking Committee questioned Sacks’ crypto waiver, noting he was simultaneously “co-hosting a \$1.5 million-a-head dinner for crypto industry players” while shaping federal crypto policy.

“Mr. Sacks simultaneously leads a firm invested in crypto while guiding the nation’s crypto policy,” Warren wrote. “Normally, federal law would prohibit such an explicit conflict of interest.”

Sacks has largely dismissed Warren’s concerns, accusing her of having a “[pathological hatred](#) for the crypto community.” He has separately said that he sold a fortune in crypto before joining the White House “because I didn’t want to even have the [appearance](#) of a conflict.”

Indeed, supporters of Sacks point to the sacrifices he’s made for government service. According to his waivers, he and Craft Ventures have divested over \$200 million in digital assets, with at least \$85

million directly attributable to him. He has sold stakes in fast-growing companies, including his position in Elon Musk's xAI, and initiated the sale of interests in approximately 90 venture capital funds, including Sequoia funds.

The source close to Sacks emphasizes these divestments, noting that because of his government role, Craft Ventures must now run every AI and crypto-related deal past the White House ethics committee. This oversight, they suggest, makes it implausible to invest in feeder funds and smaller deals, given the volume of work that might entail for everyone involved.

Clark argues that the underlying ethical framework remains flawed. The waivers themselves, she argues, are designed to provide legal cover rather than address ethical concerns. "This is whitewashing," she said. Complicating matters further, Sacks works as a government employee just 130 days per year — effectively every other week — while maintaining his commercial activities during off periods. In September, for example, Sacks and his co-hosts in their popular podcast, All In, will stage what has become an annual three-day conference to which attendees pay \$7,500 per person to join. While legally permissible, these activities further blur the lines between his public and private roles.

Some observers wonder whether Sacks — a self-made billionaire by Forbes' estimates — will declare victory and exit government service altogether. With the GENIUS Act [now law](#), he may consider his primary mission accomplished: bringing cryptocurrency from the fringes to center stage.

But that will likely take time. Sacks used a Fox News appearance Friday to detail his immediate priorities following the act's passage earlier in the day,

emphasizing the development of regulatory frameworks in three key areas, including defining market structure categories (securities versus commodities versus digital assets), expanding stablecoin regulations, and evaluating a potential national digital asset stockpile.

Meanwhile, critics concerned about conflicts of interest argue the precedent has been set. The rapid passage of crypto-friendly legislation, combined with ongoing investments in AI companies serving the federal government, suggests that Sacks and others with similar arrangements have positioned themselves and their wider orbit to benefit from their government access.

Whether this represents a new normal for Silicon Valley relations with Washington, or instead an aberration that future administrations will reverse, remains to be seen. What's clear is that traditional ethics frameworks may be inadequate for an era when venture capitalists can maintain their investment activities while simultaneously shaping the policies that determine those investments' future value.

For now, the arrangement continues, protected by carefully crafted waivers that ethics experts have questioned but find legally unassailable. As Clark puts it: "No one will be able to prosecute him."

Topics: [david sacks](#) [GENIUS Act](#) [Government & Policy](#)

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Loizos has been reporting on Silicon Valley since the late '90s, when she joined the original Red Herring magazine....

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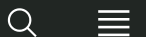
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SEC chairman Jay Clayton [made clear today](#) that his agency, along with the Commodity Futures Trading Commission, remains acutely concerned about initial coin offerings and cryptocurrency trades. In fact, toward that end, they'd like [more](#)

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[expansive powers](#) when it comes to protecting customers on cryptocurrency exchanges from fraud.

“When you have an unregulated exchange, the ability to manipulate prices goes up significantly,” Clayton told the Senate Banking Committee earlier today.

Clayton’s testimony is pretty convenient timing for [Harbor](#), a new blockchain technology company that just raised \$10 million from an interesting group of investors, including Chicago-based Valor Equity Partners; the real estate tech-focused venture firm Fifth Wall Ventures; the Dubai venture firm Vy Capital; and Craft Ventures, a new venture fund created by serial entrepreneur David Sacks — who also helped incubate Harbor.

Broadly speaking, what Harbor claims to do is protect issuers and investors by making it easier for them to operate in accordance with securities, tax and other regulations when issuing and trading crypto-securities.

But Harbor isn’t looking to cater to the types of [decentralized file storage startups](#) we’ve seen raise money through token sales. It’s chasing what many see as the [next wave of issuers and investors](#) — people from old-guard institutions like real estate and venture capital and private equity who want in on the game.

Harbor might work, for example, with a company that owns and operates commercial properties and that regularly issues real estate securities like bonds or stock in a building, but which also needs to deal with complex legal stuff, like tax withholdings and minimum investor requirements.

How it all works is a bit complicated, but according to Harbor co-founder and chief product officer

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Arisa Amano, Harbor's first project is what it's calling the Regulated Token (or "R-Token") Standard, an open-source project that addresses the compliance problem for secondary trading.



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It's built on the token standard ERC-20, which is widely supported by the existing Ethereum ecosystem. And the R-Token Standard ostensibly provides an interface that embeds compliance at the token level and can be implemented in a way that ensures that specified requirements like investor caps and holding periods are met before a trade is approved. (When a trade is requested, the R-Token checks with an [on-chain regulator service](#) to make sure that the investor has been verified and the trade meets all the legal requirements.) The token will throw off an error message otherwise and won't transfer.

Amano says the R-Token Standard can enforce compliance across any trading platform that supports ERC-20 tokens. She adds that it enables

tokens to trade everywhere, in centralized and decentralized exchanges, all over the world. For good measure, Amano reminds that “as the number of tokens and exchanges increase, the ability to apply compliance across trading platforms and jurisdictions will become increasingly necessary.”

It’s hard to dispute that last observation. Whether Harbor is the platform to which its target customers turn is another question.

It’s certainly easy to see the appeal of its founding team, which is very much threaded together by Sacks. Amano and co-founder Bob Remeika worked for Sacks at his earlier company, Yammer. They then joined Zenefits as VPs during Sacks’s short stint as CEO of the formerly high-flying HR software company. When Sacks decided to leave Zenefits and [hand off the reins](#) to someone else, they both hightailed it out the door behind him.

While Amano has taken the title of chief product officer, Remeika is the company’s chief technology officer. Meanwhile, Sacks’s title is co-founder and chairman. What the nine-person company still lacks, interestingly, is a CEO. One guesses that with its newly raised round and the founding team’s pedigree, that won’t be the situation for long.

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Neufund raises €2M for its blockchain-based venture fund

Mike Butcher — 7:00 AM PST · January 17, 2017

Berlin-based [Neufund](#) has raised €2 million from Christoph Maire's Atlantic Labs, Klaas Kersting and a group of superangels. Neufund will use the funding to build an open platform for investors to

Latest in Startups

acquire startup equity in the form of tradable crypto tokens.

Blockchain-based startups can, in theory, raise funds within hours directly from the crypto community investors in initial coin offerings (ICOs). Last year, such companies have received more than \$250 million in funding through ICOs. The issued coins (or tokens) can then be traded freely on cryptocurrency exchanges.

There remains, however, scepticism amongst many traditional VCs that this arrangement will lead to successful startups. That said, blockchain enthusiasts are heralding this type of development as a revolutionary way to raise money and realise value for startups and investors alike.

“In venture capital, both startups and investors have an almost illiquid asset position – transaction costs in and out of a company are very high. Money flows slowly – it takes about 5 years for a founder or a VC to capitalize on an exit, and about 10 years for an LP to get a return from a VC investment”, said Zoe Adamovicz, CEO and co-founder at Neufund.

Before Neufund, Adamovicz was one of the founders of the app search engine Xyo, [acquired](#) by NASDAQ-listed Mandalay in 2014.

Neufund offers a legal and technical solution that bridges company shares and blockchain-based tokens. “The transaction costs for issuing and managing such tokens are close to zero, investors can buy and trade equity in private companies and it makes essentially illiquid assets immediately liquid”, said Adamovicz.

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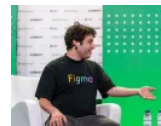
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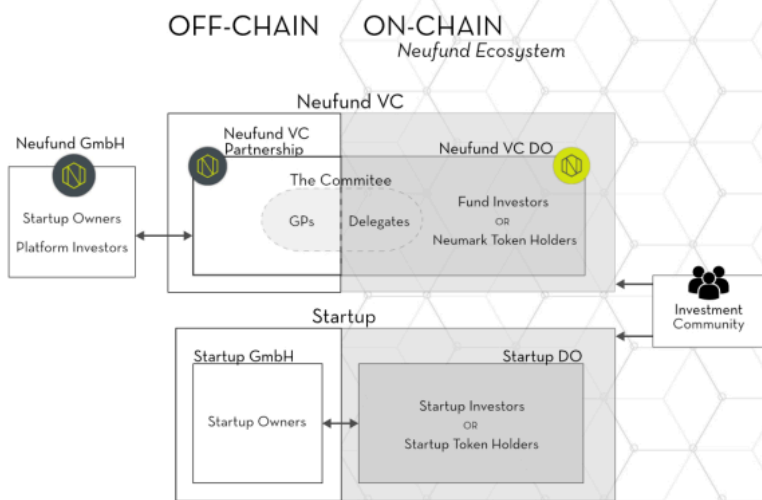
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STARTUPS



Payment platform Lava raises \$5.8M to build digital wallets for the 'agent-native economy'

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The blockchain-based platform that Neufund is building creates a new type of ownership that is neither money nor stock, but crypto tokens which represent equity and at the same time are as liquid as a currency. Such tokens have an intrinsic value to the network, but at the same time they also represent value of the business operating in the real – off-chain – world.

Neufund today also released a whitepaper on its [website](#) detailing its vision to investors and the crypto community. The company also published an animated [video](#) to show how the fund works.

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Mike Butcher

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Mike Butcher (M.B.E.), formerly Editor-at-large of TechCrunch, has written for UK national newspapers and...

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